Eventually the SAMB, which was responsible for marketing of Burmese rice, was proven to be unreliable. They did not keep up with inventory, and did not know the condition of the product or the market fluctuations. Ultimately, the state had to turn to outside assistance.

The socialist states became the main trading partners, but this required a barter-like system. The Burmese state ended up accepting low-quality goods in exchange for the rice. Eventually the United States established a trade arrangement with Burma so that products such as powdered milk, tobacco, and cottons could be purchased.

The Burmese industrial sector was a disappointment. Investment was not well developed and methods and equipment were labor intensive and aging. Furthermore, Burma did not have skilled managers and technicians to establish a solid industrial economy. Finally, poor transportation and power systems and the lack of raw materials spelled doom for industrial development in Burma.

One of the essential ways to make up for deficiencies in the Burma economy was to enhance the educational system of the nation. Under U Nu, Burma promoted rapid increase in educational spending, which expanded the number of schools and teachers. Furthermore, the state sent candidates abroad for additional training. The two areas where the system was most deficient in was the lack of trained candidates as well as adequate facilities.

The overall goal of Burma from the time of independence was to achieve socialism. The initial two-year plan called for land redistribution, restoration of the agricultural sector to prewar prominence, self-sufficiency; nationalization of particular industries; and emphasis on state ownership. The insurgency problem slowed the progress toward socialism, especially in the first three to four years following independence.

Following advice from the United States Economic Cooperation Administration, Burma invested heavily in both the private and public sectors. The United States sent in engineers and economists to help in the development of an eight-year plan. With an overly ambitious goal of a 31 percent in GNP increase over the prewar period, Burma seemed to be facing a serious economic challenge. The goals of the plan were not met, as rising prices and failure to meet targets led Burma to take loans out to help in